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ZTO Express | Asia Pacific

Research Tactical Idea

We believe the share price will rise in absolute terms over the next 60 days.

This is because the stock has traded off recently, making short term valuation much more compelling. Along with its results, ZTO announced that Ms. Di Xu tendered her resignation as a non-executive director of the company, effective May 20, 2026, given the recent termination of the investor rights agreement with subsidiaries of Alibaba Group Holdings Limited. The news appears to have triggered market expectations of a potential Alibaba stake reduction (9% stake as of end-2025). We would view any pullback in the US-listed stock as a good entry point given no fundamental concerns behind the share price correction, and we expect ZTO to resume share repurchases soon.

We estimate that there is about a 70% to 80% (or "very likely") probability for the scenario.

Estimated probabilities are illustrative and assigned subjectively based on our assessment of the likelihood of the scenario.

MORGAN STANLEY ASIA LIMITED+

Qianlei Fan, CFA

Equity Analyst

Qianlei.Fan@morganstanley.com

+852 2239-1875

ZTO Express (ZTO.N, ZTO UN)

|                                                         |                 |
|---------------------------------------------------------|-----------------|
| Hong Kong/China Transportation & Infrastructure   China |                 |
| Stock Rating                                            | Overweight      |
| Industry View                                           | In-Line         |
| Price target                                            | US\$30.10       |
| Shr price, close (May 19, 2026)                         | US\$23.55       |
| 52-Week Range                                           | US\$26.15-16.68 |
| Sh out, dil, curr (mn)                                  | 798             |
| Mkt cap, curr (mn)                                      | Rmb128,117.1    |
| EV, curr (mn)                                           | Rmb114,714.3    |
| Avg daily trading value (mn)                            | US\$9           |

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## Valuation Methodology and Risks

### **ZTO Express (ZTO.N)**

Discounted cash flow, probability-weighted 15% bull case, 75% base case, 10% bear case. Greater skew towards the bull case vs bear case reflects ZTO's market leadership in terms of volume and unit profitability. We see a mild probability that our bear case could play out if there are significant disruptions to the competitive landscape from new players joining the industry.

Key assumptions: 13.2% WACC and 3% terminal growth rate.

### **Risks to Upside**

- Faster-than-expected market share gains
- Better cost control
- Peers' weak performance in terms of volume, revenue growth, or profitability
- Improvement in shareholder returns

### **Risks to Downside**

- Continued market share loss
- Industry competition is more intensified than expected
- Market consolidation stagnates

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(as of April 30, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1546              | 42%        | 467                              | 51%            | 30%                  | 709                                               | 44%                   |
| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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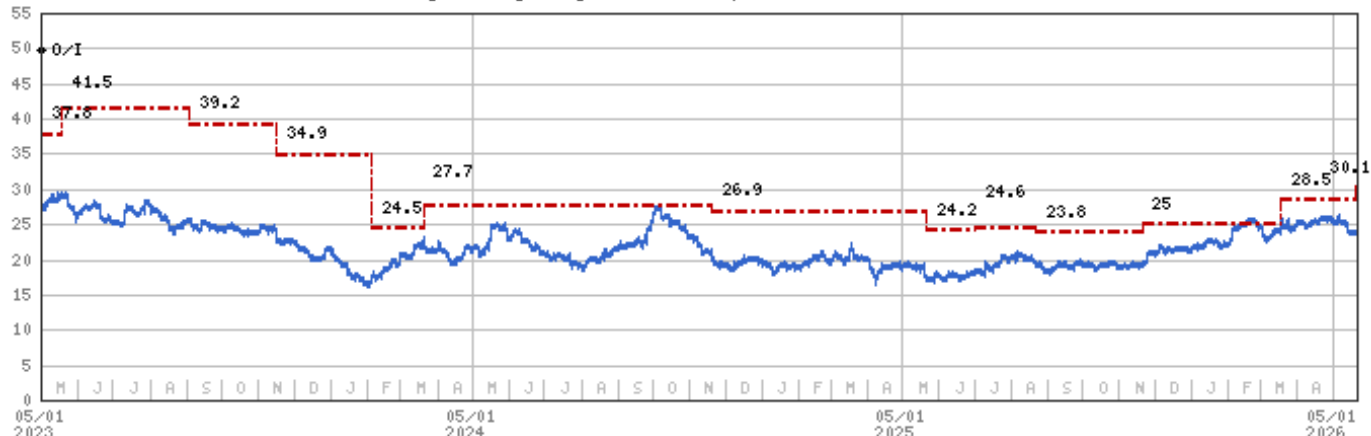
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## Stock Price, Price Target and Rating History (See Rating Definitions)

ZTO Express (ZTO.N) - As of 05/20/26 GMT in USD  
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 5/1/21 : 0/I

Price Target History: 3/18/21 : 32.7; 5/14/21 : 37.7; 11/19/21 : 42.4; 5/20/22 : 36.5; 8/18/22 : 38.8; 10/13/22 : 30.5; 2/20/23 : 35.6; 3/16/23 : 37.8; 5/18/23 : 41.5; 9/4/23 : 39.2; 11/17/23 : 34.9; 2/5/24 : 24.5; 3/20/24 : 27.7; 11/20/24 : 26.9; 5/21/25 : 24.2; 7/2/25 : 24.6; 8/22/25 : 23.8; 11/20/25 : 25; 3/18/26 : 28.5; 5/20/26 : 30.1

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (05/20/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Qianlei Fan, CFA</b>                              |                |                     |
| Air China Limited (601111.SS)                        | O (02/09/2026) | Rmb6.70             |
| Air China Limited (0753.HK)                          | O (01/13/2025) | HK\$4.57            |
| Beijing-Shanghai High-Speed Railway (601816.SS)      | O (07/03/2020) | Rmb4.89             |
| BOC Aviation (2588.HK)                               | O (03/21/2022) | HK\$77.00           |
| Cathay Pacific Airways (0293.HK)                     |                | HK\$11.99           |
| China Eastern Airlines (600115.SS)                   | O (02/09/2026) | Rmb4.12             |
| China Eastern Airlines (0670.HK)                     | O (01/13/2025) | HK\$3.53            |
| China Merchants Energy Shipping Co. Ltd. (601872.SS) | O (03/10/2020) | Rmb17.73            |
| China Southern Airlines (600029.SS)                  | O (02/09/2026) | Rmb5.29             |
| China Southern Airlines (1055.HK)                    | O (01/13/2025) | HK\$3.76            |
| COSCO SHIPPING Energy Transportation (1138.HK)       | O (01/12/2023) | HK\$18.55           |
| COSCO SHIPPING Energy Transportation (600026.SS)     | O (11/25/2025) | Rmb22.64            |
| COSCO Shipping Holdings Ltd (601919.SS)              | U (07/15/2024) | Rmb14.49            |
| COSCO Shipping Holdings Ltd (1919.HK)                | U (07/15/2024) | HK\$15.30           |
| J&T Global Express Ltd (1519.HK)                     | E (08/21/2024) | HK\$8.82            |
| Orient Overseas (International) Ltd (0316.HK)        | U (07/15/2024) | HK\$145.00          |
| Pacific Basin Shipping (2343.HK)                     | E (07/04/2025) | HK\$3.36            |
| S.F. Holding Co Ltd (002352.SZ)                      | E (09/01/2025) | Rmb35.72            |
| SITC International Holdings Company (1308.HK)        | E (01/12/2023) | HK\$35.00           |
| Spring Airlines (601021.SS)                          | O (08/31/2015) | Rmb45.59            |
| TravelSky Technology (0696.HK)                       | U (01/13/2025) | HK\$9.46            |
| ZTO Express (ZTO.N)                                  | O (11/21/2016) | US\$23.55           |
| <b>Tenny Song</b>                                    |                |                     |
| Beijing Capital Int'l Airport (0694.HK)              | U (09/23/2025) | HK\$1.83            |
| Guangzhou Baiyun Int'l Airport (600004.SS)           | E (09/23/2025) | Rmb8.31             |
| JD Logistics, Inc. (2618.HK)                         | O (03/09/2026) | HK\$13.69           |

|                                            |                |          |
|--------------------------------------------|----------------|----------|
| Shanghai International Airport (600009.SS) | E (09/23/2025) | Rmb25.75 |
| STO Express Co Ltd (002468.SZ)             | E (10/22/2024) | Rmb15.86 |
| YTO Express Group Co Ltd (600233.SS)       | O (09/11/2025) | Rmb19.34 |
| YUNDA Holding Co Ltd (002120.SZ)           | U (07/29/2020) | Rmb7.40  |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

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